



CASH OFFER PROGRAMS

Make Stronger Offers, Maximize Profits, Move with More Ease





INTRODUCTION

CMG Home Loans has partnered with three great companies that offer homeowners and buyers programs that can help them make stronger offers and transition from home to home with more ease.

THE **THREE** PROGRAMS ARE:

1

**Bridge Loan
by Knock**

knock.

2

**Cash Advantage
by Zavvie**

 **zavvie**

3

**Forward
by Zoom Casa**

ZOOM CASA™

Knock Lending, LLC, NMLS ID# 1958445 (<http://www.nmlsconsumeraccess.org>). Knock Property 1, LLC issues a Knock Purchase Offer ("KPO") on qualifying properties and charges a contract fee in connection with the KPO. Equal housing lender. Make sure you understand the features associated with the loan program you choose, and that it meets your unique financial needs. This is not a credit decision or a commitment to lend. Eligibility is subject to completion of an application and verification of home ownership, occupancy, title, income, employment, credit, home value, collateral, and other underwriting requirements as determined by Knock Lending, LLC.

WHY CASH OFFERS?

You've probably heard of the saying "cash is king." What this means is that cash offers are typically stronger than offers that require financing. Cash offers on homes stand out more to sellers because they aren't contingent on mortgage financing. They offer quick, easy closings with fewer uncertainties than offers that require loans.



HOME BUYERS WHO PAID CASH ACCOUNTED FOR 32% OF HOME SALES IN JANUARY, MARKING THE HIGHEST RATE SINCE 2014.

- National Association of REALTORS®

Cash offers tend to surge when buyer competition is high and/or home inventory is low. This is because buyers want to stand out from other prospects and win the home. However, making cash offers isn't always easy for everyone. It requires a substantial amount of wealth.

HOW CASH OFFER PROGRAMS CAN HELP

Cash offer programs give more buyers the ability to make cash offers, even if they don't have the wealth on hand. They especially benefit owners who want to buy a new home and move but have not sold their current home yet.

"[The majority of these cash-offer] housing consumers owned a home, sold it and then they could purchase their next property without a mortgage," said NAR Deputy Chief Economist, Jessica Lautz. "The freedom to make this purchase was likely due to the large amount of housing equity they have earned as home prices have increased in recent years."

SOURCE: NAR



PROGRAM OVERVIEWS

1

knock.

BRIDGE LOAN BY KNOCK

This program is a bridge loan on the property the borrower is selling. The benefit is that borrowers can get the money they need to purchase a new home before selling their current residence, thus giving them a more flexible timeline. An additional benefit is the debt of their current mortgage will not be used when calculating the debt-to-income ratio.

2

 **zavvie**

CASH ADVANTAGE BY ZAVVIE

Through this program, Zavvie makes an all-cash offer on a home of the borrower's choice (within their financial eligibility). Then, Zavvie will hold on to the house for up to 6 months, until the borrower purchases the home from Zavvie. This allows borrowers to make a more competitive offer on the home they want without relying on the sale of their current home.

3

ZOOM CASA™

CASH ADVANTAGE BY ZAVVIE

Zoom Casa will purchase the home that is being sold to take that debt off the borrower's shoulders. The company will give sellers up to 65% of the as-is value, renovate the home (if needed), sell it for them, and give them the additional profits.



— COVERAGE MAP —



 **Knock**

 **Zavie/Zoom Casa**

ZAVIE: All 50 states

ZOOM CASA: Available in all 50 states, Puerto Rico, and DC.

KNOCK:

- | | | | |
|-----------------------------|------------------|-----------------------|-----------------------|
| ✓ AL - Alabama | ✓ GA - Georgia | ✓ NH - New Hampshire | ✓ SC - South Carolina |
| ✓ AZ - Arizona | ✓ IL - Illinois | ✓ NJ - New Jersey | ✓ TN - Tennessee |
| ✓ CA - California | ✓ KY - Kentucky | ✓ NC - North Carolina | ✓ WA - Washington |
| ✓ CO - Colorado | ✓ MD - Maryland | ✓ OH - Ohio | ✓ WI - Wisconsin |
| ✓ DC - District Of Columbia | ✓ MI - Michigan | ✓ OR - Oregon | |
| ✓ FL - Florida | ✓ MN - Minnesota | ✓ PA - Pennsylvania | |



Program highlights: **BRIDGE LOAN BY KNOCK**

OVERVIEW:

This program is a bridge loan on the property the borrower is selling

BENEFITS:

- ✔ Borrowers can move into their new home without relying on the sale of their existing home first
- ✔ Access equity sooner and use that for down payment, closing costs, home renovations, and mortgage pre-imbursement
- ✔ Borrowers can be more selective when choosing to accept and offer or wait without worrying that their home purchase is contingent upon the sale of their existing home
- ✔ Borrowers can use the equity in their current home to make a large down payment on a new home with closing costs covered and very little out of pocket expenses.
- ✔ List departing residence for a higher price with **up to \$35,000** towards home prep
- ✔ Pay off debt like credit cards and auto loans to qualify for a better mortgage
- ✔ Pay one mortgage at a time with your old mortgage payment covered for up to 6 months

Details:

- ▶ Gives borrowers access to up to \$500,000 in current home's equity
- ▶ Debt from current home does not need to be included on the new loan's debt-to-income ratio (only be used for Fannie, Freddie, or AIO if they need to use the departing residence contract)
- ▶ Gives borrowers a guaranteed backup offer on current home

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Program highlights:

CASH ADVANTAGE BY ZAVVIE

Allows borrowers to submit a cash offer on their next home with four different product offerings:

1. CASH BUY
2. CASH BUY BEFORE SELL
3. CASH BUY RESCUE
4. CASH BUY BEFORE SELL RESERVE

BENEFITS:

- ▶ Help approved clients make stronger, contingent-free, all-cash offers
- ▶ Give approved clients a better chance at winning their dream home
- ▶ Reduce client's stress throughout the buying, selling, and moving processes

DETAILS:

- ✓ Zavvie Cash Advantage helps clients secure their new home with a contingent-free cash offer
- ✓ Borrowers can simultaneously work with their listing agent to sell their previous home and repurchase more quickly
- ✓ Once the Zavvie Cash Offer is accepted by the sellers, client must submit their program deposit within 48 hours. The deposit will be the greater of 2.5% of the home purchase price (4% for homes over \$1 million) or the earnest money amount
- ✓ The Zavvie Cash Advantage program fee is between 1-2.1% of the new home purchase price (depending on the Cash Advantage product chosen)

LOAN TYPE	COST TO CONSUMER*	HIGHLIGHTS
CASH OFFER PROGRAM	▶ 1% Cash Buy ▶ 1.9% Cash Buy Before Sell ▶ 2.1% Cash Buy Rescue ▶ 2.5% Cash Buy Before Sell Reserve	Cash Buy: Purchase a new home with all cash Cash Buy Before Sell: Purchase a new home with all cash before selling existing home. Cash Buy Rescue: Cash to purchase and update home.



ZOOM CASA™

Program highlights: **FORWARD BY ZOOM CASA**

OVERVIEW:

Zoom Casa will purchase the home that is being sold & give sellers up to 65% of the as-is value, renovate the home (if needed), sell it for them, and give them the additional profits.

DETAILS:

- ▶ Purchases the home being sold
- ▶ Borrower no longer owns it and no longer has that debt
- ▶ The seller receives 65% of the as-is value upfront
- ▶ Once the home is sold, the borrower receives the remaining profit
- ▶ Guaranteed back-up offer
- ▶ No credit application, no interest, no hidden fees

BENEFITS:

- ▶ Get immediate access to home's profits
- ▶ Can use this money to make down payment on next home
- ▶ Don't have to worry about living through renovations or showings
- ▶ Don't have to worry about the stress of selling the home

SIDE-BY-SIDE PROGRAM COMPARISONS

	BRIDGE LOAN BY KNOCK	CASH ADVANTAGE BY ZAVVIE	FORWARD BY ZOOM CASA
Deals with which home?	Current home	New home	Current home
Purpose	Gives borrowers access to home equity	Makes an all-cash offer on new home	Purchases current home & gives borrowers immediate profit money
Cost	2.25%	5% on purchase 2% on sale	Base service fee charged upon resale, however proceeds from the home sale may offset the fee.



ABOUT US:

ABOUT CMG HOME LOANS

CMG Home Loans is the retail division of CMG Financial, a well-capitalized mortgage bank founded in 1993 by Christopher M. George, a former Mortgage Bankers Association Chairman. CMG makes its products and services available to the market through three distinct origination channels: retail lending, wholesale lending, and correspondent lending. CMG also operates seven joint venture companies with builder & realtor partners, holds an impressive MSR/servicing portfolio, and

serves the capital markets of fixed income trading & sales through CMG Securities. CMG currently operates in all states, including District of Columbia, and holds approvals with FNMA, FHLMC, and GNMA. The company is consistently recognized as a top-producing lender and top mortgage employer, and it prides itself on helping clients achieve the dream of homeownership through product innovation and streamlined servicing..



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